

通告 CIRCULAR

Subject: Key Message to Highlight on Depository Arrangement for Uncertificated Securities Market ("USM") Implementation

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Reference is made to the circular dated 30 March 2026 regarding the Updates on the Implementation of USM. To facilitate market readiness, Hong Kong Securities Clearing Company Limited ("HKSCC") conducted a series of USM operational briefing sessions for Clearing Participants and Custodian Participants in April 2026 and invited HKSCC participants ("Participants") to complete the mandatory USM questionnaire. Based on feedback received from the briefing sessions and questionnaire, HKSCC would like to provide further clarification on the depository arrangements relating to physical share certificates in connection with the implementation of the USM regime. The points set out below will further enhance Participants' understanding and support the preparation for upcoming market readiness activities, including the practice sessions scheduled later this year.

Participants are reminded of the following arrangements to facilitate their communication with clients and support a proper understanding of the USM regime:

- Shareholders may continue to hold securities through their banks or brokers in CCASS. There is no obligation for investors to set up a USI facility unless they wish to hold participating securities in their own names and in uncertificated form.
- Dematerialisation of existing holdings is not mandatory. Shareholders who currently hold physical share certificates may continue to hold them after USM implementation on 16 November 2026, and existing certificates will remain valid.
- Shareholders' rights in respect of securities held in certificated form will not be affected, whether or not the relevant securities have become participating securities under USM.
- Securities will become participating securities in phases over a five-year period from the launch of USM. The market will receive advance notice of each stock's participation date, and Participants and their clients should refer to the relevant issuers' announcements.
- Participants should provide their clients with accurate and complete information on the available holding options and any applicable fees and charges, so that they can make informed decisions on how to hold their securities. Available holding options include holding: (i) in their own names or in the name of a nominee; (ii) within CCASS or outside of CCASS; and (iii) in the case of existing securities, in paper form or uncertificated form.

Should you have any questions regarding the above, please visit [Uncertificated Securities Market](#)

¹ All calls to and from the Hotline may be recorded. HKEX Privacy Policy Statement is available [here](#).

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This circular has been issued in the English language with a separate Chinese language translation. If there is any conflict in the circulars between the meaning of Chinese words or terms in the Chinese language version and English words in the English language version, the meaning of the English words shall prevail.

本通告已以英文及另以中文譯本刊發。如本通告中文本的字義或詞義與英文本有所出入，概以英文本為準。